EXECUTIVE SUMMARY

Customer Churn and Revenue Retention Analysis

What is leaving, what it costs and what the company could test

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THE ASK

Three decisions are requested

1

How competitor-offer churn is counted

Counted as influenceable, influenceable revenue is about $1.48 million a year. Not counted, about $923,000.

2

Who investigates the gaps customers named

Pricing and product are best placed to check what is behind the speeds, data allowances, devices and offers customers cited.

3

How the tests are judged

One follow-up period and a comparison group are agreed before any test is run.

BEFORE THE FIGURES

Three things to keep in mind when reading the figures

1

Annual figures are estimates

Each is the monthly charges of churned customers multiplied by 12. They are not recognized revenue.

2

Findings are associations

The data is a single snapshot, so patterns show what goes together and do not show cause.

3

Reasons are self-reported

The reasons customers gave for leaving are their own account and were not checked against other records.

THE SCALE

Churn removes an estimated $1.67 million a year in recurring revenue

26.5%

of customers churned (1,869 of 7,043)

30.5%

of monthly charges belong to churned customers, who pay more on average

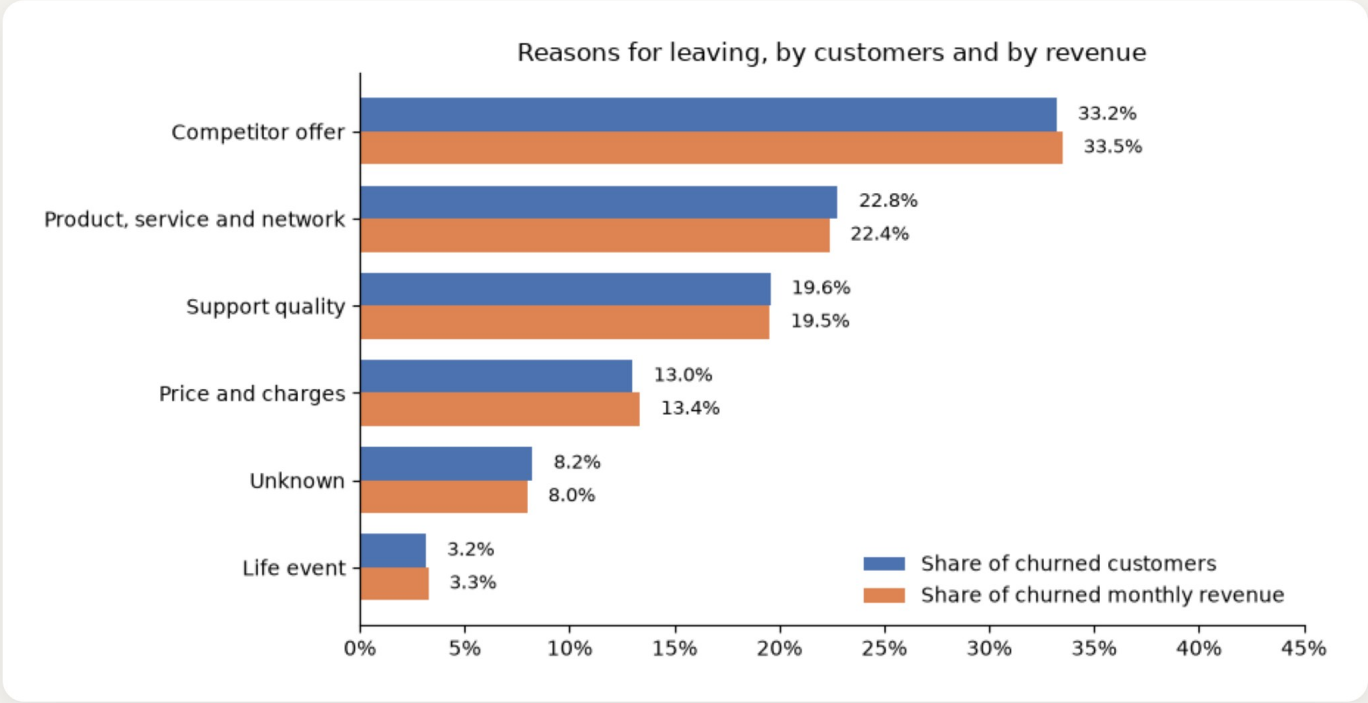
$1.67M

estimated annual revenue lost

Annual figures are estimates: the monthly charges of churned customers multiplied by 12. They are not recognized revenue and not an amount the company could be sure to recover.

WHY CUSTOMERS SAY THEY LEFT

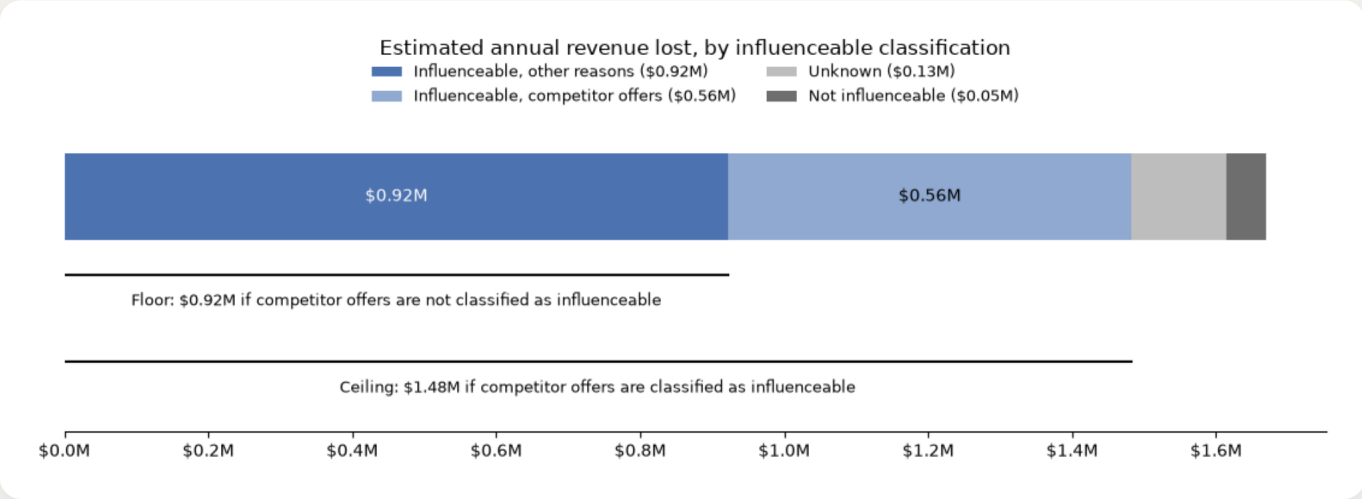
Competitor offers are the largest stated reason, at 33.2% of churners



- Competitor offers: 621 customers, about $559,000 a year.
- Product, service and network issues 22.8%, support quality 19.6%, price and charges 13.0%.
- 8.2% gave no usable reason and 3.2% left for life events.
- Reasons are self-reported, so they are not proven causes.

WHAT THE COMPANY COULD HAVE INFLUENCED

The influenceable loss is $923,000 to $1.48 million a year, depending on one classification



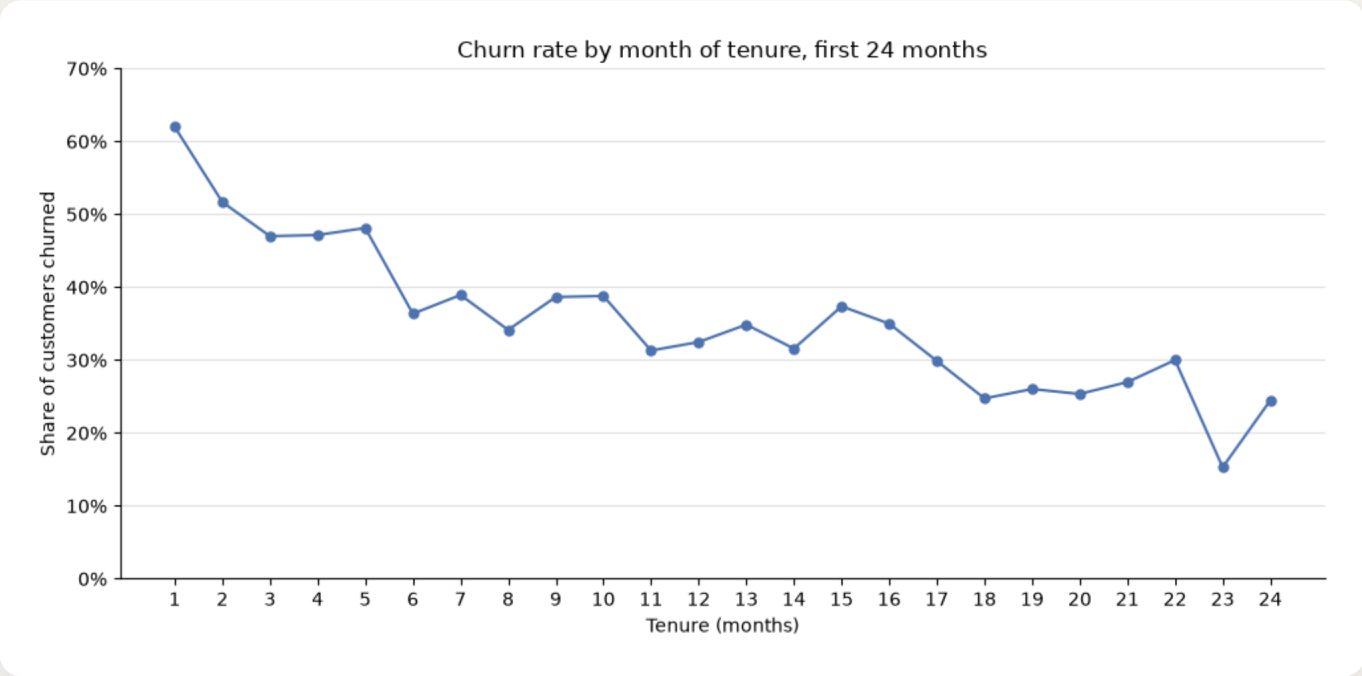
Floor: $923,000 a year
1,035 customers (55.4%), competitor offers not counted

Ceiling: $1.48 million a year
1,656 customers (88.6%), competitor offers counted

- The gap of 621 customers and about $559,000 a year is the competitor-offer group itself.
- Only 3.2% of churners left for life events.
- Influenceable does not mean the customer would have stayed, or that a response would have paid for itself.

WHEN CUSTOMERS LEAVE

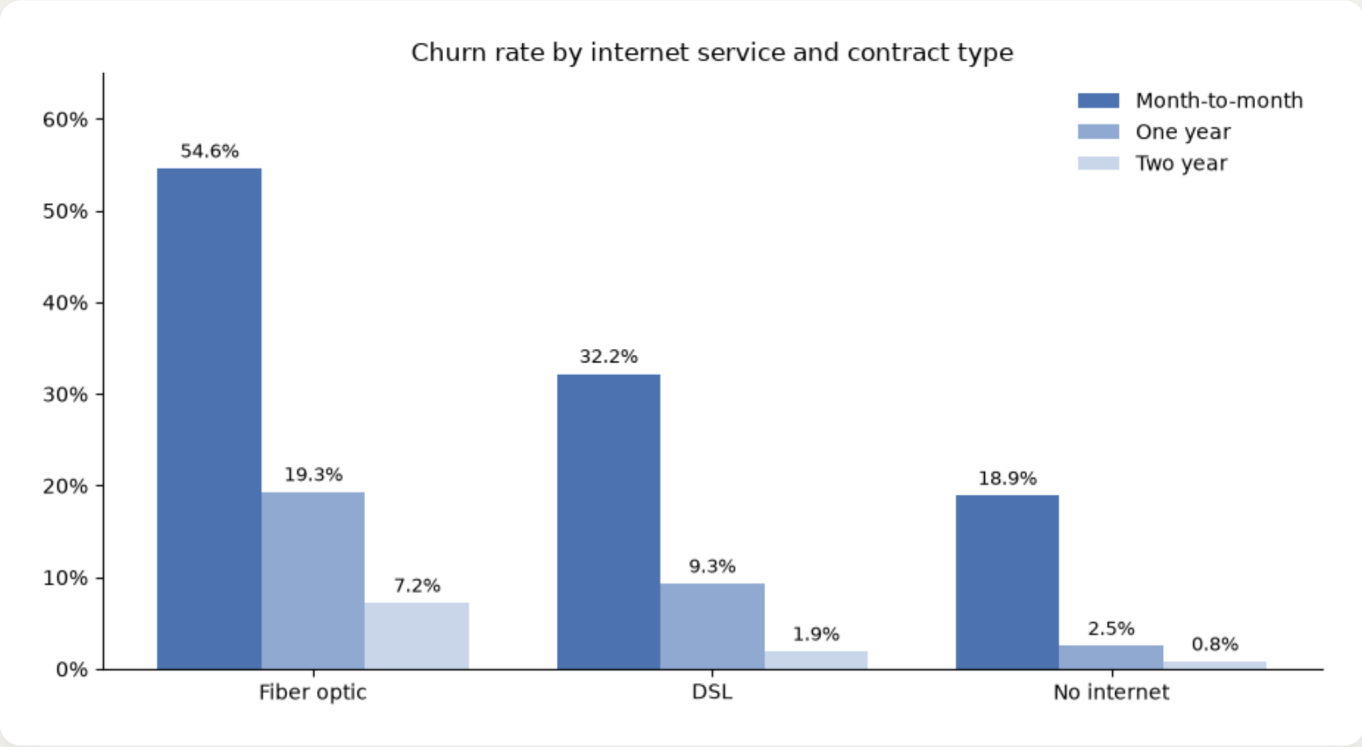
62.0% of month-one customers have churned, and 55.5% of churners leave in the first year



- Month 1: 380 of 613 customers churned, 20.3% of all churners.
- The rate steps down to 36.4% at month 6 and keeps falling.
- First-year churners: 1,037 of 1,869, about $827,000 a year.
- Reasons show no statistically detectable difference between early and later churners, so they do not explain the early spike.

WHO LEAVES

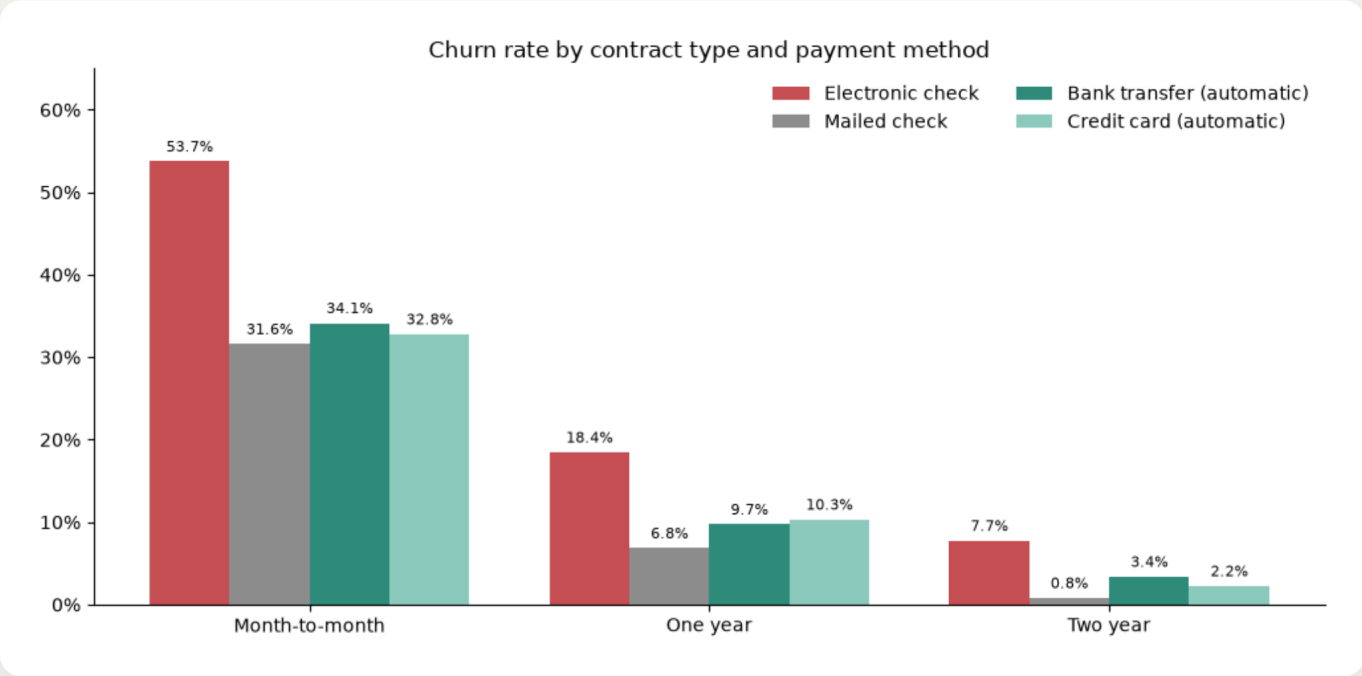
Fiber customers on month-to-month contracts churn at 54.6% and produce 62.2% of churners



- Month-to-month customers are 55.0% of customers and 88.6% of churners.
- Fiber customers are 69.4% of churners and 82.2% of churned revenue.
- Each pattern holds inside the other, and neither reverses.
- In the first five months, 74.8% of fiber customers had churned, against 50.3% for DSL.

PAYMENT METHOD

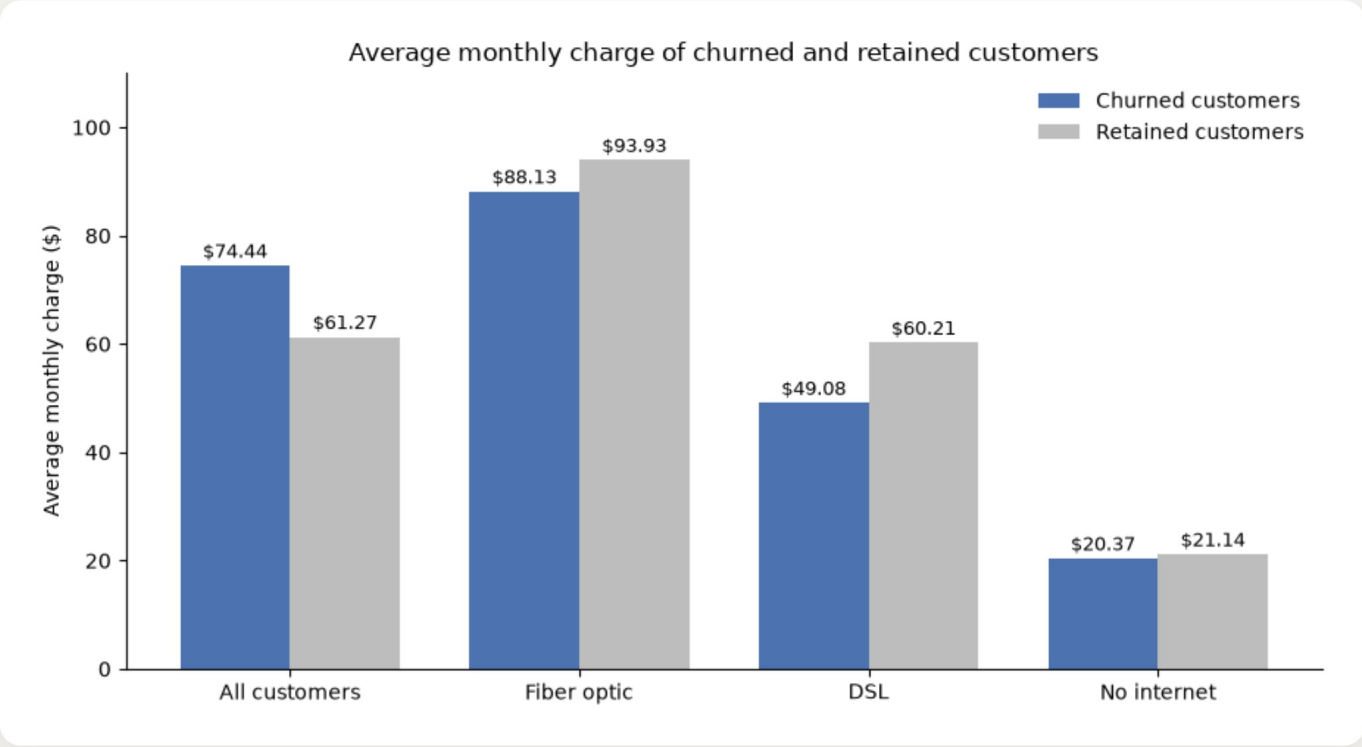
Electronic check customers churn at 45.3%, and the gap holds within every contract type



- Electronic check 45.3%, mailed check 19.1%, bank transfer 16.7%, credit card 15.2%.
- They are 57.3% of churners and about $1.01 million a year.
- On month-to-month contracts: 53.7% against 31.6% to 34.1%.
- The data holds no failed-payment or billing-dispute records, so it cannot show why.

MONTHLY CHARGES

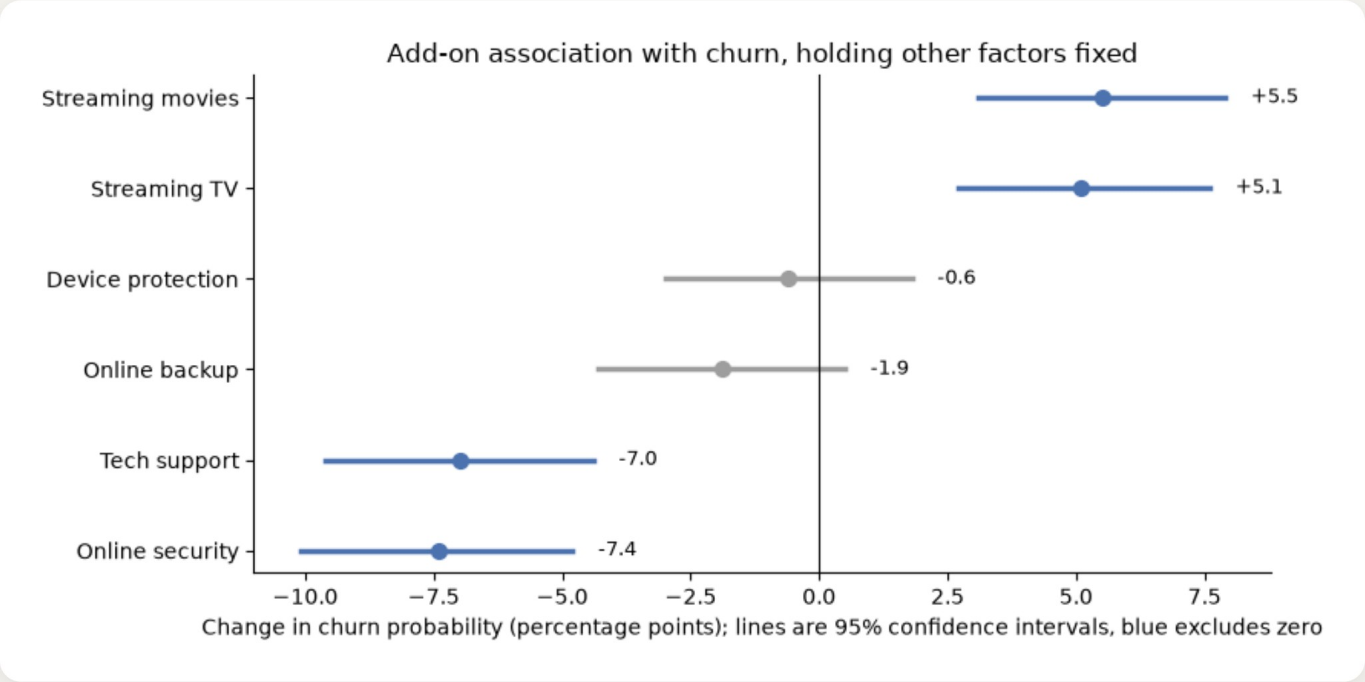
Within a service, churned customers pay less than those who stayed



- All customers: churned customers pay $74.44 a month, retained customers $61.27.
- Fiber: $88.13 against $93.93. DSL: $49.08 against $60.21.
- The overall gap arises because 69.4% of churners are on fiber, the most expensive service.
- With contract type also fixed, the bill shows no consistent link to churn.

ADD-ON SERVICES

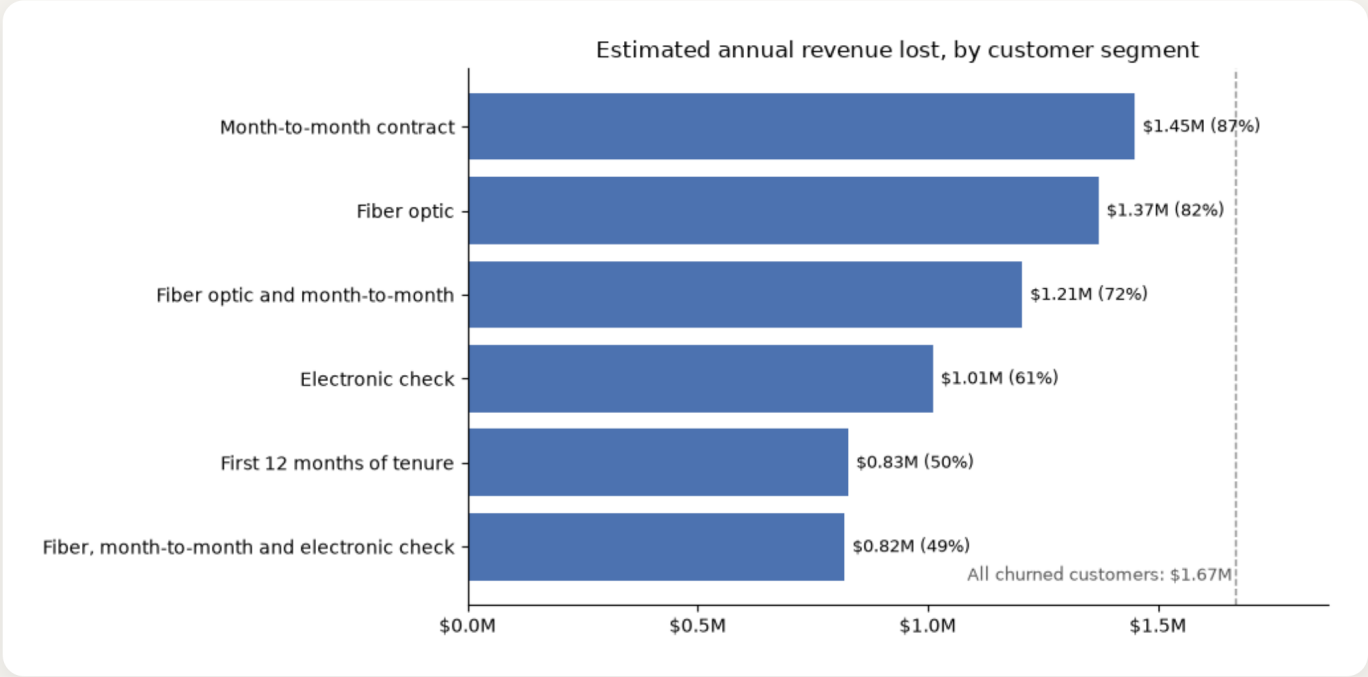
Tech support and online security are associated with about 7 points lower churn



- Online security 7.4 and tech support 7.0 points lower; streaming TV 5.1 and streaming movies 5.5 points higher.
- Online backup and device protection show no clear difference.
- Adjusted for contract, internet service and tenure. These are associations, not proof that offering a service reduces churn.

WHERE THE MONEY IS

Fiber, month-to-month, electronic check customers hold 49.1% of the lost revenue



- That segment is 18.6% of customers, churns at 60.4% and holds 42.2% of churners.
- Month-to-month $1.45 million (86.9%), fiber $1.37 million (82.2%), electronic check $1.01 million (60.6%), first 12 months $0.83 million (49.6%).
- The segments overlap, so their figures are not additive.

LIMITS

What the data could not answer

- Why customers left: reasons are self-reported.
- Competitor prices, discounts and promotions.
- Retention offers and how customers responded.
- Failed payments and billing disputes.
- Service quality and customer-level location.

The data is IBM’s public Telco Customer Churn sample (7,043 customers). It is synthetic, so the results demonstrate method and are not findings about a real company.

NEXT STEPS

Five areas the company could test

Area	What to test	Success measure
Competitor-offer churn	Investigate the gaps customers named, then test targeted retention offers against a comparison group.	Share retained over a defined period, and cost per customer retained.
First year of the relationship	Test an improved first-year experience for new customers, starting with fiber.	First-year churn, tested group against comparison group.
Fiber, month-to-month customers	Investigate the fiber service experience and test contract options.	Churn over a fixed period, offered against not offered.
Electronic check customers	Review failed payments and billing disputes, then test a change to the payment experience.	Churn over a defined period, payment failures and disputes, cost per customer retained.
Tech support and online security	Offer these services to a sample of customers and compare with a group not offered them.	Churn rate and cost per customer retained.

None of these estimates how much churn a response would prevent. One follow-up period is fixed before any test.

THE CLOSE

Decisions requested

1. How competitor-offer churn is counted: influenceable or not.
2. Who investigates the gaps customers named.
3. How the five tests are judged: one follow-up period and a comparison group.

Recommendation on the first decision

Until pricing and product confirm which competitor-offer losses were addressable, plan on the $923,000 floor and report the competitor-offer revenue (about $559,000 a year) separately. This is a planning judgment, not a finding of the analysis.